



but in each case the money you owe must be paid back regularly over an agreed period of time. You might be eligible for a grant (see p.85), or you might consider equity financing, whereby investors put money into your venture in return for a share of your business.

Meeting obligations

Before getting into any financing agreement, read all the terms carefully. They will set out strict conditions on payment times and

amounts and specify whether the interest rate is fixed or fluctuates. There may be penalties for missed payments, perhaps also for early repayment of the full sum. Discuss how you will meet your financial obligations with an accountant. Remember, if you provide security to the lender, such as your house, you risk losing this if you default on the debt. An equity agreement avoids debt but comes with the “cost” of giving up some control over your business to investors.

BUSINESS CREDIT CARDS

A business credit card is a form of debt, but it can help you manage your cash flow. Before settling on a credit card provider, make sure you compare a range of different cards aimed specifically at new businesses. Look for cards that offer management tools, such as the separation of business and personal expenses and the option of obtaining extra cards on the account for your employees to use. A low-rate card is the best choice for paying back large expenses over time. However, you often need a good credit rating to be accepted for low-rate cards, and the lender may not offer cash back or other rewards that may appeal.

Crowdfunding



Individual investors put in cash in return for rewards, repayments, or a share in the business (see p.84).

PROS

- **Social media platforms offer** many funding opportunities for start-ups.
- **You can reach people** worldwide.
- **Investors may opt for rewards**, so you do not have to repay in cash or give away shares.

CONS

- **Social media platforms need** constant, expert management to ensure success.
- **Set your target amount too high** and you may fail to reach it.
- **Set your target too low** and you may not maximize your potential.

Equity



This depends on investors providing funds in return for a share in the profits or control of your business.

PROS

- **Removes the burden** of debt and eases financial worries.
- **You benefit** from the expertise of experienced business developers.
- **Investors can help** build your business through their networks.

CONS

- **Likely to be time-consuming** to find the right investors.
- **Investors share profits** and may want a return in less than five years.
- **You may lose some control** over the running of your business.

BE AWARE

- **Be as accurate as possible** with your cash flow projections when applying for funding so that you can be sure you will be able to meet your obligations.
- **Make sure there is enough cash** in your current account to meet monthly repayments if you are borrowing.
- **Agree on a strategic date** with your lender(s) when money will leave your account.
- **Schedule repayment dates** so that cash flows into your business account before money is due to be repaid.